Higher National Diploma in Accountancy
Second Year, Second Semester Examination – 2018
HNDA 2201-Cost and Management Accountancy

Instructions for Candidates:
Answers any 05 questions
Each question carry equal marks

No. of questions :06
No. of pages :06
Time :**Three hours**

Question 01

I. What is cost Accounting and what are its objectives? (05 Marks)

II. Briefly explain the different ways of classifying cost. (04 Marks)

III. State three (03) objectives of inventory Management. (03 Marks)

IV. Omega PLC manufactures product X by using a raw material "A" the purchase price of which is Rs.120/= per kilogram. The ordering cost is Rs.1500 per order. The carrying cost of raw material is Rs.10/= per kilogram per annum.
The order period is 4 – 8 weeks. The consumption of raw material varies from 400 kg to 800 kg per week, the average consumption per week is 600kg (assume 50 week for a year)
Based on the above information, you are required to calculate,

a) Economic order quantity
b) Reorder level
c) Minimum stock level **(4×2 Marks each = 8 Marks)**

(Total 20 Marks)

Question 02

Siera is an engineering company which is a group of company. The following information has been extracted for the quarter ended 31st March 2018 for one of its factories.

	Production Department			Service Department	
	A	B	C	X	Y
Direct Wages (Rs)	1230000	1838000	2418000	600000	1200000
Direct Materials (Rs)	600000	1200000	1200000	900000	900000
Number of employees	1500	2250	2250	750	750
Electricity (kwh)	6000	4500	3000	1500	1500
Asset Value (Rs)	600000	400000	300000	100000	100000
Light points	10	16	4	6	4

Area (Sq meters)	150	250	50	50	50
Labour hours	10250	9190	18600		

The expenses for the period were:

Rs.	
Power	44,000
Lighting	8,000
Stores overheads	32,000
Welfare of staff	120,000
Depreciation	1200,000
Repairs	240,000
General overheads	480,000
Rent and rates	22,000

The company apportions the expenses in the service department Y according to direct wages and those of service department X in the ratio of 5:3:2 to the production departments.

You are required to:

Assuming the overhead are absorbed based on direct labour hours; calculate the Overhead absorption rates for the production department. **(15 Marks)**

(11) You are given the following information about Job AZ405, which was completed during the period. The job has passed through all three departments A, B, C above.

Direct material 25kg @ Rs.400kg

Direct labour 40 each in all three departments A, B, C above.

The administration costs are absorbed as 30% of the total production cost. It is the policy of the company to have 15% margin on sales value.

Calculate the selling price to be quoted for the job. **(05 Marks)**

(Total 20 Marks)

Question 03

I. Define "job costing" and state two features of job costing? **(04 Marks)**

II. The following information relates to process 01 account of singer manufacturing Ltd. During the month of 2018 December, 40,000 units were introduced in to process 01. The normal loss was estimated at 5% of inputs. At the end of the month 28000 has been produced and transferred to the next process. 9200 units were in work in progress and 2800 units had been scrapped it was estimated that work in progress had reached the following stages of completion.

Material 75% completed
Labour 50% completed
Overhead 50% completed

The cost of 40,000 units introduced was Rs. 116,000/-.
Direct labour incurred was Rs. 66,800/-
Direct material introduced during the process amounted to Rs. 35,700/-
Production overhead incurred were Rs. 33,400/-
Units scraps can be sold Rs. 1/- each
The units scraped to be considered as 100% completed as regards materials, labour and overheads.
You are required to prepare for the month f December 2018.

a) Process account
b) Abnormal loss/ gain account
c) Statement of production cost and evaluation **(14 Marks)**

III. Singer Ltd. Sells this product in packs 100 units and the packing cost is Rs. 280 per pack. The pricing policy of the company is to the company is to keep a 30% profit margin on its selling price. Calculate the selling price of one pack. **(02 Marks)**

(Total Marks 20)

Question 04

I) Araliya group of Company retail a product X. The estimated income statement for the next period is as follows:

	Product X
Units sold	200,000
Revenue @ Rs.50 per unit	Rs. 10,000,000
Loss: Total Variable Cost @ Rs.25 per unit	Rs. 5,000,000
	Rs. 5,000,000
Less: Fixed Cost	Rs. (3,000,000)
Operating Income	Rs. 2,000,000

Assume that the planned profit has been achieved:

You are required to;

(a) Calculate the breakeven point in units and in sales value. **(04 Marks)**

(b) If the variable cost increases up to Rs.30/- per unit and the sale price and fixed cost remain unchanged. How many units should be sold in order to earn a profit of Rs. 3000,000/-? **(03 Marks)**

(c) Assume that unit sale price decreases toRs.40/- and the variable cost per unit increased to Rs.28. Calculate the number of units to be sold in order to maintain the same profit of Rs. 2000,000. **(03 Marks)**

II) A firm having a capacity of 30000 units per annum. But current production is 20000 units which are consumed in the domestic market at Rs.50 per unit. The cost per unit is as follows:

Direct materials – Rs.16.00, Direct labour – Rs.12.00, Fixed expenses – Rs.4.00, Variable factory expenses – Rs. 3.00, Variable selling expenses – Rs.2.00, Fixed selling expenses – Rs.2.00.

(1) A foreign customer is interested in the product but he is willing to buy 10000 units only at a price of Rs. 35/-. Do you recommended the firm to accept this new order?

(11) What will be your advice if the new order price is Rs.30/-?

(10 Marks)

Question 05

(I) *"Budgeting is an essential too in the corporate planning"*. State the advantages of budgeting in association with this statement. **(05 Marks)**

(II) Siyapatha Ltd. produces and sells one item called A. The Company's future estimates for the final quarter (October - December) of year 2018 are as follows.

(a) Expected unit cost is as follows:

	Rs.
Raw material (2kgs.)	200
Labour	100
Production overhead costs –	
Variable cost	100
Fixed cost	100
Total production cost	500

Fixed production overhead is absorbed based o 4,000 units per month. If

production units exceed 4,000 units total fixed production overhead cost will increase by Rs. 100,000/- for every 500 units.

(b) Expected sales in October 2018 are 3,500 units. Thereafter, the company hopes to increase the volume of sales by 20% based on previous month's sales for the next budgeted period. Unit selling price is fixed to generate Rs.300/- as a contribution.

(c) Stock policy;

Closing Finished goods – equal to 25% of next month sales

Closing Raw materials – equal to 40% of next month's required quantity for production

(d) From the total sales of each month, 40% is on cash and the balance is on credit.

- Within the month of sales 20% - they are eligible to get 10% cash discount. 50% after one month, 20% after two months.
- Balance unable to collect

(e) Material suppliers are allowed a one month credit period and 10% quantity discount for the purchases above 5,000kgs.

(f) Estimated monthly fixed administration overhead cost is Rs. 250,000/- including Rs.50,000/- fixed assets depreciation. Payment has to be paid in the same month.

(g) Monthly selling and distribution expenses consist of Rs.50,000/- plus 10% on gross sales per month. Payment are made in one month in arrears.

(h) In December, in order to expand the current operations, the company is planning to issue 30,000 shares at Rs.15/- each. These funds will be used to purchase a plant worth of 53,200 which is imported from India in the same month. (The future exchange rate is estimated to be 125 LKR-1 USD)

(i) Balances as at 1st October 2018, are as follows:

	Rs.
Trade creditors	600,000
Accrued selling and distribution expenses	190,000
Accrued dividends	100,000
Stock – Finished goods (1050 Units)	420,000
– Raw material (2,940 kg)	294,000
Trade debtors – From August sales (20% of credit sales)	204,204
From September sales (80% of credit sales)	980,112
Bank favorable balance	50,000

You are required to prepare the following budgets for the months of October, November and December of year 2018.

(i) Production budget (in units) **(03 Marks)**

(ii) Material purchases budget (in kgs.) **(03 Marks)**

(iii)Cash budget **(09 Marks)**

(Total 20 Marks)

Question 06

(a) State four (04) uses of standard costing. **(04 Marks)**

(b) A manufacture of product Z, advised his cost accountant to prepare standard cost per unit for the product Z. The company operates a standard costing system.

Cost accountant produced the following the standard cost card with the assistance of other managers.

		(Rs.)
Direct material	2.5 kgs per unit @ Rs.40/- per kg	100
Direct labour	3 hours @ Rs.25/- per hour	75
Variable production overheads	3 hours @ Rs.15/- per hour	45
Fixed production overheads		20
Total standard cost per unit		240

Monthly budgeted production 4,000 units
Total budgeted fixed production overheads Rs.96,000 per month
Fixed production overheads are absorbed based on the volume of production.

Actual Results

No. of units produced 4,600
Material purchased 11,000 kgs for Rs. 462,000
Material used 10,800 kgs
Labour hours 13,900 for Rs.361,400
Variable overheads Rs.222,400
Actual fixed overhead Rs.100.000

You are required to calculate;

(i) Material price variance.

(ii) Material usage variance.

(iii)Labour rate variance.

(iv)Labour efficiency variance.

(v) Variable overhead expenditure variance.

(vi) Variable overhead efficiency variance.

(vii) Fixed overhead expenditure variance.

(viii)Fixed overhead volume variance. **(16 Marks)**

(Total 20 Marks)